HANGS Construction Services · October 2026 Receivables and Collections

HANGS Construction Services LLC · Receivables at October 31, 2026 · Prepared November 6, 2026. DRAFT memo from the Accounting Machine. Unsigned. Invented demonstration data. A person reviews and decides every entry and approves every letter; the machine never posts or sends.

Open receivables are **$475,085.00** and tie to GL 1200; retainage of $163,155.00 ties to GL 1210. After 4 proposed entries the corrected aging is **$451,212.00**, of which $47,785.00 is over 90 days. The allowance should be $17,195.72 under AR-7, $11,015.72 more than the ledger carries. 5 exceptions need a person, 3 reminder letters and one collections call script are drafted, and nothing has been posted or sent.

Corrected Aging by Customer and Job

Customer · Job	0-30	31-60	61-90	Over 90	Total	Retainage
Calder Street Lofts LLC · S-2593	$12,920.00	$0.00	$0.00	$0.00	$12,920.00	$9,180.00
Orchard Gate Owners Association · S-2598	$0.00	$0.00	$0.00	$47,785.00	$47,785.00	$21,350.00
Bellhaven Library District · S-2601	$150,461.00	$0.00	$0.00	$0.00	$150,461.00	$49,004.00
Marlowe Ridge Dental PLLC · S-2604	$58,320.00	$41,760.00	$0.00	$0.00	$100,080.00	$31,240.00
Ridgecrest Veterinary Clinic PC · S-2607	$24,066.00	$0.00	$0.00	$0.00	$24,066.00	$14,720.00
Pembrook Family Trust · S-2610	$96,900.00	$19,000.00	$0.00	$0.00	$115,900.00	$38,450.00
Total	**$342,667.00**	**$60,760.00**	**$0.00**	**$47,785.00**	**$451,212.00**	**$163,944.00**

Before the corrections: 0-30 Days $327,676.00, 31-60 Days $67,210.00, 61-90 Days $32,414.00, Over 90 Days $47,785.00; total $475,085.00.

Allowance for Doubtful Accounts

Bucket	Corrected Aging	Rate	Required
0-30 Days	$342,667.00	1%	$3,426.67
31-60 Days	$60,760.00	3%	$1,822.80
61-90 Days	$0.00	10%	$0.00
Over 90 Days	$47,785.00	25%	$11,946.25
Total	**$451,212.00**		**$17,195.72**

GL 1290 carries $6,180.00; the proposed increase is $11,015.72. Retainage is not in the formula.

Proposed Entries

Entry	Account	Debit	Credit	Support
AJ-01	2050 Unapplied Customer Payments	$32,414.00		Cash receipts, October; AR aging
	1200 Accounts Receivable		$32,414.00	
AJ-02	1200 Accounts Receivable	$14,991.00		Change order CO-03, signed; contract log progress
	1210 Retainage Receivable	$789.00		
	4100 Contract Revenue		$15,780.00	
AJ-03	4100 Contract Revenue	$6,450.00		Credit agreement CR-07; credit memo register
	1200 Accounts Receivable		$6,450.00	

Entry	Account	Debit	Credit	Support
AJ-04	6990 Bad Debt Expense	$11,015.72		Corrected aging; Credit and Collections Policy AR-7
	1290 Allowance for Doubtful Accounts		$11,015.72	

Correct Before Close

Payment Not Applied · DEP-S1027B · $32,414.00

AR-3 Cash Application (Credit and Collections Policy page 3): “Apply every receipt to the invoices it pays in the month it is received. A receipt without a remittance advice is matched by customer and amount. A receipt left in 2050 Unapplied Customer Payments at month-end is investigated and applied before the books close.”

The deposit has no remittance advice, so it was held in 2050 Unapplied Customer Payments and INV-3371 still shows open on the aging. Calder Street Lofts LLC has exactly one open invoice for that amount: INV-3371, pay application 5, dated August 31, $32,414.00, now 61 days old. Matched by customer and amount under AR-3, AJ-01 applies the receipt: it clears 2050 and takes INV-3371 off the aging. Confirm the match with the customer before it is posted.

Proposed entry AJ-01, not posted: Apply check 5521 from Calder Street Lofts LLC to INV-3371. Dr 2050 Unapplied Customer Payments $32,414.00; Cr 1200 Accounts Receivable $32,414.00. Reverses: No.

Follow-up: Confirm with Calder Street Lofts LLC that check 5521 pays INV-3371 (AR clerk). Status: Open.

Signed Change Order Not Billed · CO-03, S-2601 · $15,780.00

AR-4 Change Orders (Credit and Collections Policy page 3): “Bill a change order once the owner has signed it, for the work completed on it, on the next pay application. An unsigned change order is not billed.”

AR-2 Retainage (Credit and Collections Policy page 2): “Retainage held equals the contract's retainage rate on the work billed to date, less retainage released. Retainage is billed for release only when the contract's conditions for release are met.”

Pay application 6 (INV-3419, $135,470.00 due) carries only CO-01, CO-02 and a contract sum of $1,268,250.00; CO-03 raises it to $1,294,550.00. The contract log shows CO-03 60% complete at October 31 and nothing billed on it, so $15,780.00 of work done in October was not billed (AR-4). AJ-02 bills it: $14,991.00 to receivables and $789.00 of 5% retainage (AR-2), against contract revenue. Send it as a supplemental pay application, or add it to pay application 7; the CO-01 on S-2604 is not signed and stays unbilled.

Proposed entry AJ-02, not posted: Bill CO-03, building automation controls upgrade, 60% complete at October 31, job S-2601. Dr 1200 Accounts Receivable $14,991.00; Dr 1210 Retainage Receivable $789.00; Cr 4100 Contract Revenue $15,780.00. Reverses: No.

Follow-up: Issue a supplemental pay application for CO-03 on job S-2601 (Project accountant). Status: Open.

Agreed Credit Not Issued · CR-07 · $6,450.00

AR-5 Credits (Credit and Collections Policy page 3): “An agreed credit is issued as a credit memo in the month it is agreed and applied to the invoice it relates to.”

Both sides approved CR-07 on October 12 for deleted scope, to be applied to INV-3388. No credit memo was issued in October; the register's last one is CM-0204 of August 20. The customer paid INV-3388 on October 29 less the credit ($45,930.00 of $52,380.00), so $6,450.00 still shows open and ages as if it were owed. AJ-03 issues the credit memo under AR-5: it reduces contract revenue and clears INV-3388. Nothing is owed and no reminder is sent.

Proposed entry AJ-03, not posted: Credit memo for CR-07, deleted scope on job S-2607, applied to INV-3388. Dr 4100 Contract Revenue $6,450.00; Cr 1200 Accounts Receivable $6,450.00. Reverses: No.

Follow-up: Issue the credit memo for CR-07 in the billing system and send it to Ridgecrest Veterinary Clinic PC (AR clerk). Status: Open.

Needs a Person

Allowance Below Policy · GL 1290 · $11,015.72

AR-7 Allowance for Doubtful Accounts (Credit and Collections Policy page 4): “At month-end, after the month's corrections, the allowance equals 1% of invoices 0-30 days old, 3% of 31-60, 10% of 61-90 and 25% over 90 days. Retainage is reserved only by a specific decision. Adjust 1290 Allowance for Doubtful Accounts against 6990 Bad Debt Expense.”

After the proposed corrections the aging is $451,212.00: $342,667.00 at 1% in 0-30 days, $60,760.00 at 3% in 31-60 days, $0.00 at 10% in 61-90 days, $47,785.00 at 25% in over 90 days. At the AR-7 rates that requires $17,195.72; GL 1290 has carried $6,180.00 since September. AJ-04 adds $11,015.72 to bad debt expense. Most of it, $11,946.25, is the over 90 days bucket. The formula leaves out retainage; a specific reserve for any of it is the Controller's decision.

Proposed entry AJ-04, not posted: Bring the allowance for doubtful accounts to the AR-7 rates on the corrected aging. Dr 6990 Bad Debt Expense $11,015.72; Cr 1290 Allowance for Doubtful Accounts $11,015.72. Reverses: No.

Follow Up

Past 90 Days: Collections Call · Orchard Gate, S-2598 · $47,785.00

AR-6 Collections (Credit and Collections Policy page 4): “Send a reminder letter at 31 days and a past-due letter at 61 days. Past 90 days, the Controller calls the customer using the collections call script and the account is placed on credit hold. On a private job, ask counsel to confirm the lien deadline; the policy's working date is 90 days after the last day work was furnished.”

INV-3342 of June 30 is 123 days old with $28,880.00 open. INV-3356 of July 31 is 92 days old with $18,905.00 open. On September 15 the board treasurer promised $47,785.00 by September 30; nothing came. Of the 5 contacts on file, 2 got no reply and the last, on October 29, was a call that left a voicemail. Under AR-6 the Controller calls now, using the call script drafted in this package, and the account goes on credit hold. Work ended August 14, so the policy's working lien date is November 12, 2026: ask counsel to confirm it before then. Retainage of $21,350.00 on this contract is not aged and is not in the allowance formula; a person decides whether to reserve it specifically (AR-7).

Follow-up: Controller calls Orchard Gate Owners Association with the script; counsel confirms the lien date before November 12 (Controller). Status: Open.

Collections Call Script (Draft)

Orchard Gate Owners Association · job S-2598 · $47,785.00 over 90 days

1. Call Board Treasurer at Orchard Gate Owners Association. Have both invoices and the collections notes open.
2. Introduce: "This is the Controller at HANGS Construction Services, calling about the clubhouse renovation account."
3. State the facts: $47,785.00 is open on INV-3342 ($28,880.00, June 30) and INV-3356 ($18,905.00, July 31). On September 15 payment was promised by September 30.
4. Ask: "Is anything about the work or these invoices holding up payment?" If yes, write down the issue and agree who fixes it and by when.
5. Ask for a commitment: payment in full by November 13, or a written plan with a first payment before the board's November 12 meeting.
6. Say the account is on credit hold until it is current. Do not discuss liens or legal steps on this call.
7. Confirm what was agreed by email the same day and record the call in the collections notes.
8. If there is no commitment by November 9, the Controller asks counsel to confirm the lien date (November 12, 2026 by the policy's working rule).

Letter 1 of 3 · Past-Due Notice and Credit Hold · DRAFT, NOT SENT · For the Controller's approval (AR-8)

HANGS Construction Services LLC
1200 Example Road, Anytown, WA 00000

November 6, 2026

Orchard Gate Owners Association
Attn: Board Treasurer
c/o Orchard Gate Clubhouse, 22 Orchard Gate Way, Anytown, WA 00000

Re: Clubhouse renovation, job S-2598. Balance $47,785.00

Our records show $47,785.00 past due: INV-3342 of June 30, 2026, $28,880.00 (123 days); INV-3356 of July 31, 2026, $18,905.00 (92 days).

On September 15 we were told payment would follow by September 30. We have not received it, and our reminders since then have not been answered.

Please pay $47,785.00 by November 13, 2026, or call us before then to agree a payment date in writing. Until the account is brought current it is on credit hold.

Retainage of $21,350.00 on this contract is not part of this balance; it will be billed when the contract's conditions for release are met.

Sincerely,

Controller
HANGS Construction Services LLC

Letter 2 of 3 · Reminder · DRAFT, NOT SENT · For the Controller's approval (AR-8)

HANGS Construction Services LLC
1200 Example Road, Anytown, WA 00000

November 6, 2026

Marlowe Ridge Dental PLLC
Attn: Accounts Payable
3100 Marlowe Ridge Road, Suite 4, Anytown, WA 00000

Re: Dental office tenant improvement, job S-2604. Balance $41,760.00

This is a friendly reminder that INV-3385 of September 30, 2026, $41,760.00 (31 days) is now past our 30-day terms.

Your team told us on October 27 that payment is expected by November 6. If it is already on its way, thank you, and please disregard this letter.

If anything on the invoice needs a correction, please call us and we will resolve it quickly.

Sincerely,

Controller
HANGS Construction Services LLC

Letter 3 of 3 · Reminder · DRAFT, NOT SENT · For the Controller's approval (AR-8)

HANGS Construction Services LLC
1200 Example Road, Anytown, WA 00000

November 6, 2026

Pembrook Family Trust
Attn: Trustee
Pad 3, Larch Hollow Business Park, Anytown, WA 00000

Re: Flex industrial building, Larch Hollow Pad 3, job S-2610. Balance $19,000.00

This is a friendly reminder that INV-3380 of September 20, 2026, $19,000.00 (41 days) is now past our 30-day terms.

Your team told us on October 22 that payment is expected by November 10. If it is already on its way, thank you, and please disregard this letter.

If anything on the invoice needs a correction, please call us and we will resolve it quickly.

Sincerely,

Controller
HANGS Construction Services LLC

Open Items and Sign-Off

Every entry above stays proposed until a person accepts it or changes it with a reason. No letter is sent until the Controller approves it (AR-8). Nothing has been posted or sent. This memo is not a sign-off.

Prepared by: Accounting Machine (draft, unsigned)
Reviewed and approved by: _____ Controller · Date: _____